

#	Case Name	Tentative
		remainder. The objections to the declaration of Aron McKay and remaining objections are OVERRULED. Moving cross-defendants shall give notice of this ruling.
56.	DistinctImage International, LLC v. Renew Spinal Care, Inc. 2018-00986980	Plaintiff DistinctImage International, LLC's motion for entry of judgment pursuant to Code of Civil Procedure section 664.6 is DENIED. Plaintiff seeks the entry of judgment pursuant to its settlement agreement with defendants Renew Spinal Care, Inc., Joe Samuel Bailey, and GS Hospitality L.L.C. executed by the parties on 6/2/24. (See Kent Decl. ¶¶ 1, 5-8, Ex. 1 [settlement agreement]; see also Mtn. P&As at pp. 9-10.) The settlement agreement, however, requires the entry of a stipulated judgment containing an unenforceable penalty. (See Kent Decl. at Ex. 1 [settlement agreement §§ 3.1, 7].) Specifically, the settlement agreement provides: "All Claims held by [plaintiff] as alleged in the Complaint herein shall be fully satisfied upon payment of the sum of [\$1,450,000] (the 'Lump Sum Payment') by 5:00 p.m. on December 1, 2024 (the 'Lump Sum Payment Deadline')." (Kent Decl. at Ex. 1 [settlement agreement § 3.1].) The settlement agreement then provides plaintiff with certain "rights" if defendants fail to timely make the Lump Sum Payment, including the right to an immediate \$200,000 penalty: "If the Lump Sum Payment is not made in full by the Lump Sum Deadline, then commencing December 1, 2024, Plaintiff has the unconditional right to submit an Ex Parte Application to the Court requesting Judgment against Defendants, and each of them in the amount of \$1,650,000.00." (Kent Decl. at Ex. 1 [settlement agreement § 7].) It further provides: "Defendants knowingly and intentionally waive and release any claim, contention, or right to argue or contend that the result amount of any judgment entered pursuant to this SETTLEMENT AGREEMENT is unenforceable as a penalty or improper liquidated damages [sic] under Civil Code, §1671. The unpaid principal balance shall bear interest at the rate of ten percent per annum simple interest. [Plaintiff] shall be entitled to recover all of his costs in enforcing this SETTLEMENT AGREEMENT including reasonable attorney's fees." (<i>Ibid.</i>) The additional \$200,000 in principal constitutes an unenforceable penalty under Civil Code section 1671, subdivision (b), as it bears no reasonable relationship to the

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		range of actual damages that the parties could have anticipated would flow from a breach. (See <i>Ridgley v. Topa Thrift & Loan Assn.</i> (1998) 17 Cal.4th 970, 977; <i>Lakeshore Investment LLC v. Now Solutions, Inc.</i> (Cal. Ct. App., Aug. 24, 2026, No. B343435) _ Cal.App.5th _ (<i>Lakeshore Investment LLC</i>) [2026 WL 2474230 at *2].) “ ‘The amount set as liquidated damages “must represent the result of a reasonable endeavor by the parties to estimate a fair average compensation for any loss that may be sustained.” [Citation.] In the absence of such relationship, a contractual clause purporting to predetermine damages “must be construed as a penalty.” ’ (<i>Ridgley v. Topa Thrift & Loan Assn.</i> [, at p.] 977....)” (<i>Lakeshore Investment LLC</i>, _ Cal.App.5th at p. _ [2026 WL 2474230 at *2].) Here, the settlement agreement provides that in the event defendants fail to timely make the \$1.45 “Lump Sum Payment,” plaintiff shall be entitled a stipulated judgment of \$1.65 million representing a \$200,000 increase in principal, plus interest at the rate of 10% per annum on this increased principal sum and attorney fees and costs. (Id. at Ex. 1 [settlement agreement § 7].) A \$200,000 increase in the principal amount due—particularly where the parties have already agreed that \$1.45 million “fully satisfie[s]” all of plaintiff’s claims in the complaint (Kent Decl. at Ex. 1 [settlement agreement § 3.1]), and have provided for the recovery of interest and attorney fees and costs in the event of a late payment—does not reflect a reasonable range of damages flowing from the failure to timely pay the initial settlement sum. (See <i>Red & White Distribution, LLC v. Osteroid Enterprises, LLC</i> (2019) 38 Cal.App.5th 582, 589 [“ ‘Damages for the withholding of money are easily determinable—i.e., interest at prevailing rates....’ ”]; <i>Ridgley v. Topa Thrift & Loan Assn.</i>, <i>supra</i>, 17 Cal.4th at p. 977 [“The amount set as liquidated damages ‘must represent the result of a reasonable endeavor by the parties to estimate a fair average compensation for any loss that may be sustained.’ ”]; see also Bailey Decl. ¶¶ 20, 21, 23 [defendants were unrepresented at the time they executed the settlement agreement; there was no explanation of the additional \$200,000 required in section 7 of the agreement].) Where, as here, “a stipulated judgment amount is not reasonably related to damages arising solely from the failure to pay the stipulated judgment, it constitutes an unenforceable penalty.” (<i>Lakeshore Investment LLC</i>, <i>supra</i>, _ Cal.App.5th at p. _ [2026 WL 2474230 at *2].)

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		This is so regardless of the language in the settlement agreement purporting to waive defendants' right to challenge the stipulated judgment as an unenforceable penalty. (See Kent Decl. at Ex. 1 [settlement agreement § 7].) An unenforceable penalty is void as against public policy (<i>Honchariw v. FJM Private Mortgage Fund, LLC</i> (2022) 83 Cal.App.5th 893, 900, 903), and "the public policy expressed in Civil Code section[s]... 1671 may not be circumvented by words used in a contract...." [Citation.]" (<i>Purcell v. Schweitzer</i> (2014) 224 Cal.App.4th 969, 975; see <i>WRI Opportunity Loans II, LLC v. Cooper</i> (2007) 154 Cal.App.4th 525, 542 [illegality cannot be waived by stipulation in the contract]; see also Civ. Code, §§ 1667, 1668.) "[S]ection 664.6 does not allow a court to endorse or enforce a provision in a settlement agreement or stipulation which is illegal, contrary to public policy, or unjust," even if the parties agree to it. (<i>Timney v. Lin</i> (2003) 106 Cal.App.4th 1121, 1127; <i>Graylee v. Castro</i> (2020) 52 Cal.App.5th 1107, 1113-1114.) The "court cannot enter a judgment that contains an unenforceable liquidated damages clause" (<i>Graylee v. Castro, supra</i>, 52 Cal.App.5th at p. 1113) or omit/modify the terms of the settlement agreement so that it provides for a different judgment. (<i>Machado v. Myers</i> (2019) 39 Cal.App.5th 779, 792 [under section 664.6, a party is "entitled to judgment 'pursuant to the terms of the settlement'... and nothing more"; "the trial court is under a duty to render a judgment that is in exact conformity with an agreement or stipulation of the parties' " and cannot modify an express term of the settlement agreement or make a new stipulation for the parties]; <i>Leeman v. Adams Extract & Spice, LLC</i> (2015) 236 Cal.App.4th 1367, 1375 [although the court "may reject a stipulation that is contrary to public policy" and "refuse to issue the requested consent judgment," the court cannot "add to or modify an express term of the settlement"].) <u>Request for judicial notice.</u> Defendants' request for judicial notice is granted as to exhibits 3-5 (see Evid. Code, § 452, subds. (c), (d)), and otherwise DENIED. (See <i>Jaramillo v. County of Orange</i> (2011) 200 Cal.App.4th 811, 817 [judicial notice of federal opinions is unnecessary, citation to the material is sufficient]; <i>Bolanos v. Superior Court</i> (2008) 169 Cal.App.4th 744, 761 [trial court rulings have no precedential value]; <i>Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison</i> (1998) 18 Cal.4th 739, 748, fn. 6 [denying request where judicial notice is not necessary, helpful, or relevant].)

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		The parties shall be prepared to discuss a trial date. Plaintiff shall give notice of this ruling.
57.	Williams v. Sevilla Homeowners Association 2021-01183871	The court has read and considered the additional briefing regarding issues to be tried in Phase 2. The parties are ordered to submit an additional joint filing that (1) identifies each cause of action that remains from the Records Case and the Election Case; (2) for each remaining cause of action, the parties shall identify the elements of each cause of action by reference to the CACI model instructions; and (3) the parties shall analyze which elements (if any) have been established as a result of the court's ruling concerning the Phase 1 bench trial. The additional joint briefing shall be submitted no later than September 24, 2026. The court sets a status conference regarding the Phase 2 trial for October 5, 2026 at 2:00 p.m. in Department C28. Defendants shall give notice of this ruling.
58.	PeproMene Bio, Inc. v. Seo 2024-01423532	Defendant Youngjin Seo's Motion to Set Aside and Vacate the Default is DENIED. Pursuant to Code of Civil Procedure §§ 473.5 and 473(b), Defendant seeks to set aside the default that was entered on December 8, 2025. CCP § 473.5 Code of Civil Procedure section 473.5 provides for setting aside a default or default judgment "when service of the summons and complaint has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action." Code Civ. Proc. § 473.5(a). This section is designed to provide relief where there has been <i>proper</i> service of the summons, but the defendant nevertheless did not find out about the action in time to defend. Typically, these are cases in which service was made by publication. (<i>See Trackman v. Kenney</i> (2010) 187 Cal.App.4th 175, 180.) "A party moving under section 473.5 must submit an affidavit, based on personal knowledge rather than hearsay or conclusory assertion, showing that the lack of actual notice